Activities of the NDIC in the Third Quarter, 2023

5.0 Introduction

The NDIC activities and achievements are presented below.

5.1 Update on Corporate Strategic Performance

The various strategic initiatives and performances at the end of September 2023 are highlighted as follows:

i. The NDIC conducted the third quarter of 2023 Service Level Agreement ratings of all Departments, Units, and Zones (DUZs) using its Service Level Agreement Management System (SLAMS).

ii. The NDIC 24-Hour Toll-Free Help Desk continued to educate and enlighten depositors on deposit insurance issues and attend to enquiries as well as issues raised by customers of banks and the general public. During the third quarter of 2023, the Helpdesk received 1,210 emails and 187 calls on various complaints, of which 88 were fully resolved.

iii. The NDIC received a courtesy visit to its Management from the Ministry of Finance Incorporated, the Institute of Chartered Accountants of Nigeria (ICAN), and the Bloggers and Vloggers Content Creators Association (BAVCCA). The Corporation, during the visit, solicited the President and Council members of the ICAN to introduce Deposit Insurance System (DIS), into the body's examination module to promote awareness among its members. Similarly, the NDIC seized the opportunity of the visit by the BAVCCA to sensitize its members on the mandate and activities of the Corporation to promote the dissemination of informed and accurate DIS content across online platforms.

5.1.1 Corporate Financial Performance

i. The total balance of the Deposit Insurance Funds comprising Deposit Insurance Fund (DIF), Special Insured Institutions Fund (SIIF), Non-Interest Deposit Insurance Fund (NIDIF), and Payment Service Deposit Insurance Fund (PSDIF) as at September 30, 2023, stood at ₦2.207 trillion as detailed in Table 5.1.

ii. During the period under review, the Corporation continued to ensure that its deposit insurance funds were continuously invested in various Federal Government instruments (FGN Bonds and NTBs) in line with the Corporation's Investment Policy and the NDIC Act 2023.

iii. The NDIC, in compliance with the Fiscal Responsibility Act (FRA) 2007, had remitted the sum of ₦15 billion for the quarter ended June 30, 2023, being the payment of 80% of the Corporation's unaudited Net Operating Surplus to the FGN Consolidated Revenue Fund (CRF).

Table 5.1: Deposit Insurance Funds as at September 30, 2023

S/N	FUNDS	TOTAL (Millions)
1	DEPOSIT INSURANCE FUND (DIF)	2,001,310
2	SPECIAL INSURED INSTITUTIONS FUND (SIIF)	181,104
3	NON INTEREST DEPOSIT INSURANCE FUND (NIDIF)	24,605
4	PAYMENT SERVICE DEPOSIT INSURANCE FUND (PSDIF)	226
TOTAL		**2,207,246**

Source: NDIC (2023)

5.2 Corporate Operational Performance

5.2.1 Closing Activities of 183 Insured Institutions

As at 24 May 2023, the closure date of the 183 insured financial institutions comprising 179 MFBs and four PMBs, the total deposits, insured deposits, and uninsured deposits of the 179 MFBs stood at ₦31,670 million, ₦6,040 million, and ₦25,630 million, respectively. The total number of depositors was 1,257,180. At the end of the third quarter of 2023, the NDIC paid ₦1,009.99 million to 31,987 insured depositors, while no payment was made to uninsured depositors pending the realisation of the assets of the MFBs in-liquidation.

Similarly, the PMBs' total deposits, insured deposits, and uninsured deposits stood at ₦12,130 million, ₦1,240 million, and ₦10,890 million, respectively, while the total number of depositors was 90,346. Moreover, the NDIC paid ₦172.65 million to 634 insured depositors, while no payment was made to uninsured depositors during the review period.

5.2.2 Payments to Insured and Uninsured Depositors of Closed Insured Banks

i. In the third quarter of 2023, the NDIC paid ₦4.49 million to 26 insured depositors and ₦965.82 million to uninsured depositors of 49 DMBs in-liquidation. Cumulatively, the

NDIC had paid ₦8,274 million to 444,167 insured depositors and ₦103,058 million to uninsured depositors of 49 DMBs in-liquidation at end-September, 2023.

ii. The NDIC also paid ₦791.16 million to 23,798 insured depositors, but no payment was made to uninsured depositors of 546 Microfinance Banks (MFBs) in-liquidation during the review period. Cumulatively, the NDIC had paid ₦4,431 million to 121,215 insured depositors and ₦20.207 million to uninsured depositors of closed MFBs as at September 30, 2023.

iii. During the quarter under review, 583 insured depositors were paid ₦154.09 million, and ₦46.64 million to uninsured depositors of 51 Primary Mortgage Banks (PMBs) in-liquidation at end-September 2023. The cumulative insured amount paid by the NDIC to 2,416 depositors of closed PMBs stood at ₦278.86 million, and ₦258.08 million to the uninsured depositors as at September 30, 2023.

5.2.3 Payments to Creditors of Banks in-Liquidation

During the review period, the sum of ₦0.92 million was paid to five creditors of the 49 DMBs in-liquidation. Accordingly, the cumulative sum of ₦1,282 million had been paid to 1,032 out of 1,320 creditors as at September 30, 2023.

5.2.4 Payments to Shareholders of Banks in-Liquidation

The NDIC paid the sum of ₦0.99 million to six shareholders of closed DMBs in-liquidation. Consequently, the cumulative sum of ₦4,897 million had been paid to 986 shareholders as at September 30, 2023.

5.3 Asset management activities

5.3.1 Risk Assets Recovery

The sum of ₦120.72 million was recovered from debtors of 12 DMBs in-liquidation during the third quarter of 2023. Similarly, the sums of ₦15.18 million, and ₦38.80 million were recovered from debtors of three PMBs, and debtors of 20 MFBs in-liquidation, respectively. Consequently, the total recovery from the risk assets for the period was ₦174.69 million, as summarised in Table 5.2.

Table 5.2: Loan Recoveries (₦' million) for the Second Quarter and Third Quarter of 2023

Insured Institutions	SECOND QUARTER, 2023				THIRD QUARTER, 2023			
	Apr	May	June	TOTAL	Jul	Aug	Sep	TOTAL
	₦'mn	₦'mn	₦'mn	₦'mn	₦'mn	₦'mn	₦'mn	₦'mn
DMBs	0.55	0.9	0.58	2.03	47.14	70.38	3.2	120.72
PMBs	2.89	4.85	1.66	9.39	1.02	10.23	3.93	15.18
MFBs	1.45	5.57	4.97	11.99	27.84	7.18	3.77	38.80
GRAND TOTAL	**4.89**	**11.32**	**7.21**	**23.41**	**76.00**	**87.79**	**10.90**	**174.69**

Source: NDIC (2023)

The risk assets recoveries, which totalled ₦174.69 million represented an increase of ₦151.29 million or 646.39 per cent from the sum of ₦23.41 million recovered in the second quarter of 2023. The recovery of ₦174.69 million represents 13.44 per cent of the Corporation's full-year Risk Assets Recovery target of ₦1,300 million. The Corporation is re-strategising to meet and exceed the set target by year-end.

The cumulative recovery for the DMBs in-liquidation from 1994 to date was ₦31,102.28 million. The sum of ₦358.64 million was recovered from September 2010 to date in respect of closed MFBs, while PMBs had a cumulative recovery of ₦822.85 million. Therefore, the total recovery from Risk Assets of all banks in-liquidation stood at ₦32,283.77 million as at September 30, 2023.

5.3.2 Disposal of Physical Assets Banks in-Liquidation

The total amount realised from the disposal of physical assets of banks in-liquidation for the third quarter ended September 30, 2023, was ₦23.47 million, compared with the sum of ₦0.09 million realised in the second quarter of 2023. The recovery of ₦23.47 million comprised the sum of ₦6.50 million realised for DMBs, ₦16.57 million for MFBs, while PMBs had N0.40 million.

The realised figure of ₦23.47 million represents 2.35 per cent of the Corporation's full-year budgeted Physical Assets Recovery target of ₦1,000 million.

As at September 30, 2023, the cumulative realisation since inception from Physical Assets and Rent collected on properties of banks in-liquidation stood at ₦23,794.86 million. The figure comprised ₦22,528.23 million, ₦1,033.20 million and ₦233.42 million for DMBs, MFBs and PMBs in-liquidation, respectively.

5.3.3 Realisation of Investments of Banks in-Liquidation

The amount realised from investments of eight banks in-liquidation during the third quarter of 2023 was ₦43.63 million, compared with ₦6.44 million realised during the second quarter of 2023. The sum comprised ₦41.41 million, ₦0.05 million, and ₦2.17 million for DMBs, PMBs, and MFBs in-liquidation, respectively.

Table 5.3 presents the summary of realised quarterly recoveries against the target for the year.

Table 5.3: Actual and Target Recoveries/Realisations by Asset Category (N' million) at the end of the Third Quarter 2023

S/N	ASSET TYPE	RECOVERY /REALISATION	TARGET	ACHIVEMENT
		₦'mn	₦'mn	%
1	RISK ASSETS	174.69	1,300	13.44
2	PHYSICAL ASSETS	23.47	1,000	2.35
3	INVESTMENTS	43.63	-	-
	TOTAL	**241.79**	**2,300**	**15.78**

Source: NDIC (2023)

The cumulative sum realised from investments of banks in-liquidation from inception to September 30, 2023, was ₦5,960.78 million. The amount realised from investments of DMBs

from 1994 to June 30, 2023, stood at ₦5,788.22 million, for MFBs from 2010 to date was ₦106.15 million, and for PMBs was ₦66.41 million as at September 30, 2023.

5.4 Bank Supervision

5.4.1 Risk Based Examination (RBE) - On-Site Examination of DMBs

In the third quarter of 2023, the CBN/NDIC conducted a maiden examination of Signature Bank and Optimus Bank, and the reports writing/vetting exercise of these banks were concluded during the period under review.

Furthermore, a team of CBN/NDIC examiners conducted RBS examinations of 20 DMBs, comprising 14 commercial banks, two non-interest banks, and four financial holding companies (holdcos) during the review period. The CBN led the examination of 16 out of the 20 banks, while the NDIC led the remaining four. The reports were vetted by the CBN/NDIC Group Heads and sent to the Senior Management, while the Group Heads were availed of the supervisory actions of their respective banks for follow-up.

5.4.2 Quality Assurance on DMBs' Examination Reports

The CBN/NDIC Methodology Group jointly conducted the quality assurance review on 16 low and moderate-risk-rated banks' reports as of June 30, 2023.

5.4.3 Cybersecurity Review

During the quarter under review, the joint CBN/NDIC Cybersecurity Supervisory Review and Evaluation (CSRE) of 14 low and moderate risk-rated banks and five Payment Service Banks (PSBs) was conducted. The review aimed to assess the effectiveness of banks' information security control systems in mitigating threats to their operations. It also examined the banks' compliance with the CBN Cybersecurity Framework and Guidelines issued in October 2018. The report writing exercise of the CSRE was ongoing at the end of the review period.

5.4.4 On-Site Examination of MFBs and PMBs

The CBN allocated 106 banks (100 MFBs and 6 PMBs) to the NDIC for the 2023 on-site RBS Examination. During the period under review, the Corporation had conducted RBS examination of 61 MFBs, and 5 PMBs, and the report writing exercise is on-going, while the remaining 39 MFBs, and one PMB will be conducted within the last quarter of the year.

5.4.5 Investigations/Consumer Protection

At the end of the third quarter of 2023, 319 customer complaints from various banks were received by the NDIC, in addition to 47 brought forward from the fourth quarter of 2022, bringing the total to 366. Of the 366 complaints, 309, representing 84.43 per cent, were fully resolved, 47 (12.84 per cent) were still being investigated, while 10 or 2.73 per cent were unattended because account details and disputed amounts were not provided. Notably, the 309 fully resolved complaints involved deductions from customers' accounts in the sums of ₦2,751 million. Out of the ₦2,751 million, the sum of ₦2,745 million was refunded by the respective banks to their customers, while the banks are in the process of refunding the sum of ₦4.14 million. However, it was established that the complainants will bear the withdrawals of ₦1.99 million due to their negligence, in which case the banks will not refund the customers. The spike in the refunded amount during the quarter

resulted from a ₦2,716 million complaint made by the Port Harcourt Electricity Distribution Company (PHEDC).

At the PMB-MFB sub-sector, 28 Complaints/Petitions were received during the third quarter of 2023. Holding letters were issued to the Complainants or their Solicitors while investigations commenced. Out of the 28 Complaints/Petitions, 15 had been resolved, while the remaining are at different stages of completion.

5.4.6 Premium Assessment, Collection and Deposit Verification on Insured banks

At end-September 2022, the NDIC collected a total premium of ₦1.383 billion from 467 banks comprising 454 MFBs, one Non-Interest-MFB, and 12 PMBs, representing 106.38 per cent of the ₦1.3 billion target collection of 2023 for the MFB and PMB sub-sector.

Furthermore, the NDIC conducted deposit verification exercise of 15 banks comprising of 13 conventional banks, two non-interest banks, and one payment service bank, while the verification of 19 other banks is on-going as at September 30, 2023.

5.4.7 Fit and Proper Persons Enquiries

During the third quarter of 2023, the NDIC received 319 requests from the Central Bank of Nigeria (CBN), Securities and Exchange Commission (SEC), Pensions Commission (PENCOM), and National Insurance Commission (NAICOM) to conduct due diligence on prospective appointees in the financial sector. Of the 319 requests, 276 had been treated, while 43 requests remained outstanding as at September 30, 2023, pending further investigation.

5.4.8 Review of Differential Premium Assessment (DPAS)

The NDIC reviewed its Framework for Differential Premium Assessment System (DPAS) to make it more risk-sensitive and account for significant developments that had taken place in the Nigerian banking system since its adoption in 2008. Similarly, the review was also informed by the need to ensure that the DPAS framework in Nigeria conforms with the recommendations of the International Association of Deposit Insurers (IADI) and other global best practices. Consequently, the NDIC exposed the draft revised DPAS Framework to insured member institutions in Nigeria for their respective comments/inputs. The review of the comments and suggestions received by the Corporation has reached an advanced stage.

5.4.9 Review of Target Funding Ratio

The NDIC had commenced reviewing its target funding ratio framework to ensure that the Target Fund and method of its determination are adequate, credible, appropriate, reasonable, consistent and transparent, while enhancing public confidence, and benchmarking with global best practices in DIS. Accordingly, stakeholders' comments in respect of the framework are being collated to enhance the review.

5.4.10 Review of Maximum Deposit Insurance Coverage (MDIC)

The NDIC commissioned a study to assess the adequacy of current deposit insurance coverage levels in Nigeria, considering changes in the banking industry and economy since previous reviews. The study used depositors' current deposit information, inflation impact, GDP Per Capita and coverage levels from other jurisdictions to recommend Maximum Deposit Insurance (MDIC) for insured institutions.

5.4.11 Whistle Blowing

The NDIC received 106 whistle-blowing cases from 35 DMBs, bordering on service dissatisfaction, theft, and cash suppression, among others, during the quarter-ended September 30, 2023. The number of cases resolved was 74, while the remaining 32 were pending and under investigation as at September 30, 2023.

5.5 Legal Activities

The major legal activities of the Corporation for the quarter ended September 30, 2023 were as follows:

i. The NDIC monitored 82 debt recovery of "₦100 million and above, 72 debt recovery of "₦100 million and below, 50 corporate cases, 27 Defensive Litigation (for whom), 14 defensive cases involving MFBs & PMBs, 210 winding-up petition cases of MFBs & PMBs, and 19 cases handled by in-house counsel.

ii. The Corporation forwarded five investigation cases to the Federal Ministry of Justice in the second quarter of 2023 for prosecution bordering on conspiracy, insider abuse, fraudulent conversion of funds and stealing belonging to four DMBs and three MFBs in-liquidation. Out of the five cases forwarded, three cases relating to three MFBs in-liquidation were filed, while the remaining cases are yet to be filed in the relevant Courts during the quarter under review.

iii. The Corporation is awaiting an update from the Economic and Financial Crimes Commission (EFCC), concerning the nine cases forwarded to the Commission bordering on fraud, abuse of credit policies, asset stripping, suppression and concealment amounting to ₦17,250 million, as well as conversion and diversion of funds totalling $66.60 million by ex-staff and clients of five DMBs in-liquidation.

iv. The NDIC further monitored 15 criminal cases pending at the various national courts involving fraud, granting unauthorised and unsecured credit facilities, conspiracy, non-disclosure of interest and stealing funds belonging to DMBs in-liquidation.

5.6 Enterprise Risk Assessment

In the third quarter of 2023, the Enterprise Risk Management activities of the NDIC were as follows:

i. Successfully conducted a risk assessment and IT application test on the NDIC Academy (Alternate site) to assess Corporation resilience.

ii. Conducted simulation and fire drills to assess the effectiveness of the Corporation's evacuation plan, and fire safety equipment.

iii. Identified the major risks during these exercises, which were also profiled, and appropriate controls were reinforced.

5.7 Achievements/Challenges requiring the attention of the Central Bank of Nigeria

5.7.1 Achievements

The following are some of the notable achievements of the NDIC during the quarter ended September 30, 2023:

i. The NDIC was re-certified on three International Organisation for Standardisation (ISO) standards, namely ISO 27001 (Information Security Management System), ISO 20000 (IT Service Management System), and ISO 22301 (Business Continuity Management

System), after the conclusion of stage 1 and stage 2 certification audit by the certification body-MSECB.

ii. The Corporation obtained three judgments in its favour. The three judgements were defensive cases, two at the court of appeal, and one at trial court.

iii. The Corporation, also through out-of-court settlements and in collaboration with the EFCC, recovered ₦8.75 million in favour of four DMBs in-liquidation.

iv. The Corporation established the Winding-Up Rules Committee in June 2022 to develop a draft Winding-Up Rules for failed insured financial institutions. After several consultations within and outside Nigeria, the committee's eventual draft was reviewed and approved by senior management of the NDIC. The draft was therefore forwarded to the firm of Olaniwon Ajayi & Co., the consultants engaged by the Corporation, to further review the draft Winding-Up Rules for onward transmission to the Chief Judge of the Federal High Court for adaptation as the instrument for winding up failed financial institutions.

v. The risk, and physical assets recoveries as well as realisation of investments of banks in-liquidation during the period under review stood at ₦241.79 million.

vi. The NDIC paid the sum of ₦949.74 million to insured depositors. The figure comprised the sum of ₦4.49 million paid to 26 insured depositors of DMBs, ₦791.16 million to 23,798 insured depositors of MFBs, and ₦154.09 million to 583 insured depositors of PMBs in-liquidation.

vii. The NDIC also paid ₦1,012.46 million to uninsured depositors comprising ₦965.82 million, and ₦46.64 million to uninsured depositors of DMBs and PMBs, respectively, but no payment was made to uninsured depositors of 546 Microfinance Banks (MFBs) in-liquidation.

viii. During the period under review, the NDIC paid liquidation dividend totalling ₦1,014 million. The figure comprised the sum of ₦1,012.46 million, ₦0.92 million, and ₦0.99 million to uninsured depositors, five creditors, and six shareholders of DMBs in-liquidation, respectively.

ix. The NDIC had paid ₦1,182.64 million to 32,621 insured depositors of MFBs and PMBs, closed in May 2023 at end-September 2023.

5.8 Challenges

Regardless of the achievements mentioned above, the NDIC is still confronted with the following challenges:

i. Difficulty in debt recovery.
ii. Difficulty in execution of judgments.
iii. Protracted legal processes.
iv. Complaint about the inadequacy of deposit insurance coverage.

5.9 Conclusion

The Corporation, through its various activities, has consistently pursued the achievement of its public policy objectives of depositors' protection, enhancing public confidence, and promoting financial system stability.